

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning

Prepared for Charles | February 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile. Based on your W-2 income (\$300–399K), existing STR property in the Catskills, SMLLC structure, significant crypto holdings, and expressed goals of increasing STR revenue and tax refunds, this snapshot identifies 8 strategy concepts across tax optimization, debt management, real estate expansion, and investment positioning.

Across all categories—tax savings, investment income and projected appreciation, real estate value, cash flow improvements, and wealth positioning—this snapshot models potential first-year value ranging from **\$55,584 (conservative scenario)** to **\$249,814 (aggressive scenario including additional real estate acquisition)**. Implementation of any strategy should be verified with your CPA and licensed financial advisor. All values shown are modeled estimates using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025.

⚠ Filing Status Discussion Point: You currently file Married Filing Separately (MFS). Unless there is a specific reason for MFS (e.g., IBR student loan optimization, spouse liability protection), filing Married Filing Jointly may reduce your combined tax burden

by an estimated \$10,000–\$30,000+ annually. This may be the single highest-value conversation to have with your CPA for both the 2025 return and 2026 planning.

 **OBBBA Impact Note:** The One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, significantly affects several strategies in this snapshot. Key changes include: permanent restoration of 100% bonus depreciation for property acquired after January 19, 2025; SALT deduction cap increased to \$40,000 (from \$10,000); Section 179 expensing increased to \$2.5 million; and Child Tax Credit increased to \$2,200 per qualifying child. These provisions are reflected throughout this analysis.

Profile Summary

ITEM	DETAIL
Name / Age	Charles, age 47
Filing Status	Married Filing Separately (MFS)
Dependents	2 children; other adult family members
Location	New York, NY (renting primary residence)
W-2 Income	\$300,000 – \$399,000 (est. ~\$350K)
Spouse Income	\$300,000+
Business Structure	Single-Member LLC (sole prop) — less than 6 months old
Retirement Accounts	~\$830K total; maxing W-2 401(k) at \$23,500 (2025); no HSA (no HDHP)
Crypto / Digital Assets	\$500K+ (significant position, 10%+ of net worth)
Real Estate	1 STR property — Catskills, NY (~\$250K value; ~\$1,716/mo revenue)
Cash Reserves	~\$36K liquid savings (2–3 months expenses)
Debt	~\$36K credit card debt (high utilization)
Credit Score	720–759
Side Income / Interests	Coaching sports, Airbnb management, consulting
Home Office	Dedicated area (not full room)
Vehicle for Business	Not currently; vehicle available that could have business use

Risk Tolerance	Moderate (balanced growth & stability)
Time Available	2–5 hours/week for wealth-building activities
Capital to Deploy	Q45: \$0–2K comfortable; Q26: \$20–49K liquid capital

Estimated Combined Marginal Tax Rate

COMPONENT	RATE
Federal Marginal Rate (MFS, ~\$350K)	~35%
New York State	~8.82%
New York City	~3.876%
Estimated Combined Marginal Rate	~47%

Actual marginal rate depends on specific income, deductions, and filing status. Verify with your CPA. Note: Under OBBBA, the SALT deduction cap increased to \$40,000 for 2026, which may affect itemization calculations for NYC taxpayers.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

WEEK 1 — FEB 17–23	WEEK 2 — FEB 24–MAR 2
CPA meeting: Discuss MFS vs. MFJ analysis for 2025 return and 2026 planning. Potential value: \$10K–\$30K+/year. Cost segregation study: Has one been performed on Catskills STR (\$250K)? Under OBBBA, if property was acquired after Jan 19, 2025, 100% bonus depreciation applies. If acquired earlier, TCJA phase-down rates apply based on placed-in-service year. Discuss with CPA. 2025 Backdoor Roth: Deadline April 15, 2026. If not yet completed for 2025 ($\\$7,000 \times 2$ spouses = \$14,000), discuss mechanics with CPA.	Backdoor Roth IRA: If proceeding, consider opening/funding Traditional IRAs for both spouses. Conversion timing to discuss with CPA (especially with MFS pro-rata rules). CC Debt Strategy: Model payoff approaches with CPA/advisor. At ~20–24% APR, \$36K in CC debt costs ~\$7,200–\$8,640/year in interest.
WEEK 3 — MAR 3–9	WEEK 4 — MAR 10–16
W-4 review: If receiving large refunds, discuss withholding adjustment with CPA to improve monthly cash flow. LLC revenue plan: Many tax strategies (Solo 401(k), home office, vehicle) require self-employment income. Discuss timeline for generating	STR optimization: Review Catskills property pricing, occupancy data, and expense ratios. Goal: 20% NOI increase. Mileage tracking: If using vehicle for LLC/STR business, begin documenting mileage (72.5¢/mile for 2026). Apps like MileIQ or Everlance simplify this.

consulting/coaching revenue through
LLC.

Investment scenario discussion:
Review Section 7 scenarios with a
licensed financial advisor.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Traditional / Roth IRA (Backdoor)	\$7,000 per spouse (no catch-up; age 47)	April 15, 2026	Up to \$14,000 total (2 × \$7,000). MFS income limits require Backdoor Roth conversion. Discuss pro-rata rule implications with CPA.
HSA Contributions	\$8,550 family / \$4,300 individual	April 15, 2026	Not applicable — no HDHP in 2025. Consider HDHP enrollment for 2026 open enrollment to unlock HSA for 2027.
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Only if Solo 401(k) plan was established before Dec 31, 2025 and LLC generated SE income in 2025. Discuss with CPA.
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Alternative if Solo 401(k) not established. Can still open and fund for 2025 if LLC had SE income. Discuss with CPA.

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

The following strategy concepts are presented for educational purposes. Eligibility and implementation must be verified with your CPA. All limits reflect 2026 IRS rules per Rev. Proc. 2025-32.

Strategy Concept: Cost Segregation — Existing STR Property

Potential Value: \$8,000 – \$25,000 (tax benefit)

What It Is: A cost segregation study reclassifies components of real property (appliances, fixtures, landscaping) into shorter depreciation schedules (5, 7, or 15 years instead of 27.5 or 39 years). For a \$250K property at a ~47% combined marginal rate, accelerated depreciation could model \$8,000–\$25,000 in first-year tax benefit depending on asset composition and applicable bonus depreciation rate.

How It Works:

1. Engage a qualified cost segregation firm to perform an engineering-based study on the Catskills STR property
2. Reclassified assets receive accelerated depreciation. The applicable bonus depreciation rate depends on when the property was acquired (see OBBBA note below)
3. File Form 3115 (change in accounting method) or amended return reflecting accelerated depreciation schedule

OBBBA Bonus Depreciation Update: The OBBBA permanently restored 100% bonus depreciation for qualified property acquired after January 19, 2025. If the Catskills STR was acquired after that date, 100% bonus depreciation applies to reclassified components, significantly increasing the potential tax benefit. If acquired before that date, the TCJA phase-down rates apply based on the original placed-in-service year (e.g., 80% for 2023, 60% for 2024, 40% for Jan 1–19, 2025). Discuss acquisition timing with your CPA to determine the applicable rate.

Eligibility Criteria: Property owner with depreciable real estate (commercial or rental). STR properties commonly qualify. Study cost typically \$3,000–\$7,000 for properties under \$1M.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. 2026 limits shown.

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Potential Value: \$15,000 positioned in tax-free growth

What It Is: MFS filers cannot contribute directly to a Roth IRA (phase-out starts at \$0). The "backdoor" method involves contributing to a Traditional IRA (non-deductible) and converting to Roth. For 2026, each spouse may contribute up to \$7,500 (age 47, no catch-up), totaling \$15,000 per year in tax-free compounding.

How It Works:

1. Contribute \$7,500 to a Traditional IRA (non-deductible) for each spouse
2. Convert to Roth IRA shortly after contribution (discuss timing with CPA)
3. Ensure no existing pre-tax Traditional IRA balances to avoid pro-rata taxation on conversion

Eligibility Criteria: Must have earned income. No existing Traditional IRA balances strongly preferred (pro-rata rule). Available regardless of income level.

Verify eligibility and conversion mechanics with your CPA. The pro-rata rule can create unexpected tax consequences if pre-tax IRA balances exist. 2026 limits shown.

Strategy Concept: W-2 401(k) Contribution Update (2026 Limit)

Potential Value: \$470 additional tax savings

What It Is: The 2026 employee deferral limit increased to \$24,500 (from \$23,500 in 2025). At a ~47% marginal rate, the additional \$1,000 in deferrals models ~\$470 in tax savings. At age 47, no catch-up is available (starts at 50).

How It Works:

1. Update 401(k) contribution election with employer payroll to \$24,500 for 2026
2. Adjust contribution percentage to reach \$24,500 by December 31, 2026
3. Confirm employer match is not affected by increased deferral rate

Eligibility Criteria: W-2 employee with access to employer 401(k). Under age 50 — no catch-up contribution available.

Verify contribution limits with your HR/benefits department. 2026 limits shown. Note: SECURE 2.0 requires that catch-up contributions be Roth for employees earning \$150K+ in FICA wages — not applicable at age 47 but relevant for future planning.

Strategy Concept: Home Office Deduction (Schedule C)

Potential Value: \$705 – \$1,890 (tax savings)

What It Is: A dedicated workspace used regularly and exclusively for business allows a deduction. The simplified method allows \$5/sq ft up to 300 sq ft (\$1,500 max deduction). At a ~47% marginal rate, this models up to \$705 in tax savings (simplified) or potentially more with the regular method if actual expenses are higher. Requires Schedule C income from the LLC.

How It Works:

1. Measure and document the dedicated workspace area (regular and exclusive use required)
2. Choose simplified (\$5/sq ft, max \$1,500) or regular method (proportional share of rent, utilities, etc.)
3. Report on Schedule C — deduction limited to net Schedule C income

Eligibility Criteria: Dedicated workspace used regularly and exclusively for business. Self-employment income required (W-2 employees cannot claim home office). LLC must generate income.

Verify eligibility with your CPA. Documentation of regular and exclusive use is critical. 2026 limits shown.

Strategy Concept: Vehicle Business Use (72.5¢/mile for 2026)

Potential Value: \$682 – \$1,704 (tax savings)

What It Is: Business miles driven for LLC or STR management activities can be deducted at 72.5¢/mile for 2026. Estimated 2,000–5,000 business miles (STR

property visits, client meetings, supply runs) at a ~47% marginal rate models \$682–\$1,704 in tax savings using the standard mileage rate method. Actual method may yield higher deduction if vehicle expenses are significant.

How It Works:

1. Begin tracking all business miles using an app (MileIQ, Everlance, or manual log) starting immediately
2. Document purpose of each trip (property management, client meeting, supply purchase, etc.)
3. Deduct on Schedule C at 72.5¢/mile or use actual expense method (cannot switch back easily)

Eligibility Criteria: Vehicle used for business purposes. Must maintain contemporaneous mileage log. Commuting miles do not qualify.

Verify with your CPA. Mileage logs must be maintained contemporaneously — retroactive logs are not accepted by the IRS. 2026 rate: 72.5¢/mile.

Strategy Concept: Credit Card Debt Elimination

Potential Value: \$3,600 – \$8,640/year (interest savings + freed payments)

What It Is: Approximately \$36K in credit card debt at an estimated 20–24% APR creates \$7,200–\$8,640 in annual interest costs. Eliminating this debt provides a guaranteed "return" equal to the interest rate — significantly higher than most investment returns. Additionally, freed minimum payments (~\$720/month) can be redirected to wealth-building.

How It Works:

1. Model avalanche (highest rate first) vs. snowball (smallest balance first) payoff strategies
2. Evaluate whether a 0% balance transfer (credit score 720–759 may qualify) reduces interest during payoff period
3. Discuss with financial advisor whether partial crypto liquidation, cash reserve reallocation, or accelerated income strategy is most appropriate given tax implications

Eligibility Criteria: Anyone with high-interest consumer debt. Not a tax strategy but a guaranteed-return wealth concept.

Debt payoff strategy should be coordinated with your overall financial plan. Discuss tax implications of funding sources (especially crypto liquidation) with your CPA.

Strategy Concept: Solo 401(k) Employer Contributions (LLC Income)

Potential Value: \$0 – \$5,625 (tax savings, contingent on SE income)

What It Is: Once the LLC generates self-employment income (consulting, coaching, STR management), a Solo 401(k) allows employer contributions of up to 25% of net SE income, in addition to the W-2 401(k) already being maxed. At a ~47% rate, \$12,000 in employer contributions models ~\$5,625 in tax savings. Note: employee deferrals are shared across all 401(k) plans (\$24,500 total for 2026, already used by W-2 plan).

How It Works:

1. Establish Solo 401(k) plan by December 31, 2026 for 2026 employee deferrals (employer-only contributions can be made by tax filing deadline)
2. Contribute employer portion: 25% of net SE income (Schedule C net profit minus 50% of SE tax)
3. Combined limit across all plans: \$72,000 for 2026 (no catch-up at age 47)

Eligibility Criteria: Self-employment income from the SMLLC. No full-time employees other than spouse. Plan must be established before relevant deadlines.

Contribution limits and eligibility requirements should be verified with your tax professional. Limits shown are for 2026. Employee deferrals are aggregated across all 401(k) plans.

Strategy Concept: W-4 Withholding Optimization

Potential Value: \$2,400 – \$6,000/year (cash flow improvement)

What It Is: If you typically receive a large tax refund, your W-4 may be over-withholding. Adjusting withholding to more closely match actual tax liability converts a year-end refund into monthly take-home pay. At \$200–\$500/month in over-withholding, this frees \$2,400–\$6,000/year in cash flow that could address debt, fund investments, or build reserves.

How It Works:

1. Review 2025 tax return with CPA to calculate actual vs. withheld amounts
2. Submit updated W-4 to employer with adjusted withholding
3. Redirect freed cash flow intentionally (debt payoff, Roth IRA, emergency fund)

Eligibility Criteria: Any W-2 employee receiving refunds > \$1,000. Most effective when combined with accurate tax projections.

Discuss optimal withholding with your CPA to avoid underpayment penalties. Changes affect 2026 forward only.

Primary Strategy Education: STR Optimization & Real Estate Expansion

Based on your profile—existing STR property, interest in house hacking, moderate risk tolerance, and goals of increasing STR revenue and building long-term wealth—real estate strategies represent a significant opportunity area for 2026.

Existing STR Optimization (Catskills Property)

Current Indicated Revenue: ~\$1,716/month (~\$20,592/year). Your goal: increase net revenue by 20%.

20% NOI Improvement Levers to Explore:

- **Dynamic pricing tools** (PriceLabs, Wheelhouse, Beyond) — commonly increase revenue 10–25% by optimizing nightly rates based on demand, seasonality, and local events
- **Listing optimization** — professional photography, SEO-optimized descriptions, multi-platform distribution (Airbnb + VRBO + Booking.com)
- **Expense audit** — review cleaning costs, supplies, property management fees for reduction opportunities
- **Mid-week/off-season strategy** — corporate retreats, remote worker packages, pet-friendly policies to fill vacancy gaps

Real Estate Expansion — House Hacking Concept (Aggressive Scenario)

You indicated interest in ownership + financing and house hacking (live in one unit, rent others). This concept is modeled in the aggressive scenario only and assumes a 12-month acquisition timeline.

ASSUMPTION	MODELED VALUE
Target Property Value	\$350,000 – \$400,000
Down Payment (20%)	\$70,000 – \$80,000
STR NOI (Year 1)	\$25,000 – \$35,000

Cost Seg Tax Benefit (new property, 100% bonus dep under OBBBA)	\$49,000 – \$70,000
Property Appreciation (3–6%)	\$10,500 – \$24,000
Mortgage Principal Paydown (Year 1)	~\$4,000 – \$5,000

OBBBA Impact on New Acquisition: A new property acquired in 2026 qualifies for 100% bonus depreciation on reclassified components identified through a cost segregation study. For a \$375K property (midpoint), with ~80% depreciable building basis (\$300K) and 30–40% of that reclassified to short-life property, the first-year bonus depreciation could range from \$90K–\$120K, generating an estimated tax benefit of \$42,300–\$56,400 at a 47% combined rate. This is significantly more beneficial than the pre-OBBBA phasedown rates.

Capital Requirement Note: The aggressive RE scenario requires ~\$75,000 for a down payment, which exceeds current liquid capital (\$20–49K indicated). Potential funding paths to discuss with your advisor include: partial crypto position rebalancing (tax implications apply), 12-month savings accumulation plan, HELOC on Catskills property (if equity exists), or partnership/creative financing structures.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional and licensed real estate professional to ensure compliance. Property values and NOI projections are illustrative and depend on market conditions.

Illustrative Portfolio Scenario

Educational investment scenario based on profile analysis. This is not a recommendation to purchase, sell, or hold any security.

Profile Inputs: Q41 = Moderate (balanced growth & stability) → 50–70% Bitcoin allocation. Q46 = STR revenue growth + tax optimization goals → income-oriented STRC component. Q44 = 2–5 hrs/week → passive-leaning. Q45/Q26 = \$1K conservative / \$35K aggressive deployable capital.

Note: You already hold a significant crypto position (\$500K+, 10%+ of net worth). This scenario models new capital deployment only, not a rebalancing of existing positions.

ASSET CLASS	SCENARIO %	ILLUSTRATIVE AMOUNT (AGGRESSIVE: \$35,000)	EDUCATIONAL RATIONALE
Bitcoin	60%	\$21,000	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Moderate profile supports majority allocation with diversification.
STRC	25%	\$8,750	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Aligns with income-generation goals.
VTI / VOO	15%	\$5,250	VTI/VOO offer broad U.S. equity exposure at low cost (0.03% expense ratio). Commonly used for non-crypto diversification and long-term compounding.

This scenario models one approach based on the moderate profile and income-growth goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. Verify current STRC yield at time of investment. Historical yields are not guaranteed.

These scenarios are for educational illustration. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Past performance does not guarantee future results.

Modeled First-Year Value Summary (2026 Tax Year)

Capital Deployment: Conservative = \$1,000 (Q45 midpoint of \$0–2K) | Aggressive = \$35,000 (Q26 midpoint of \$20–49K)

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION				
Tax	401(k) Increase (\$23,500 → \$24,500)	\$470	\$470	$\$1,000 \times 47\%$
Tax	Cost Segregation (Existing \$250K STR)	\$8,000	\$25,000	Accelerated depreciation $\times$ marginal rate; bonus dep rate depends on acquisition date
Tax	Home Office (Schedule C)	\$705	\$1,890	Simplified ($\$1,500 \text{ max} \times 47\%$) to regular method $\times 47\%$
Tax	Vehicle Business Use (72.5¢/mi)	\$682	\$1,704	$2,000 \text{ mi} \times \$0.725 \times 47\%$ $/ 5,000 \text{ mi} \times \$0.725 \times 47\%$
Tax	Solo 401(k) Employer Portion	\$0	\$5,625	Contingent on LLC income; $25\% \text{ of SE} \times 47\%$

Tax Optimization Subtotal		\$9,857	\$34,689	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield (10–12%)	\$25	\$1,050	$\$250 \times 10\%$ / $\$8,750 \times 12\%$
Income	ETF Dividends (1.5–2%)	\$2	\$105	$\$150 \times 1.5\%$ / $\$5,250 \times 2\%$
Investment Income Subtotal		\$27	\$1,155	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin (25% / 50%)	\$150	\$10,500	$\$600 \times 25\%$ / $\$21,000 \times$ 50%
Growth	STRC (15% / 30%)	\$38	\$2,625	$\$250 \times 15\%$ / $\$8,750 \times 30\%$
Growth	VTI/VOO (8% / 12%)	\$12	\$630	$\$150 \times 8\%$ / $\$5,250 \times 12\%$
Appreciation Subtotal		\$200	\$13,755	
CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY — HOUSE HACKING)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	New property; market dependent
RE	Property Appreciation (4.5% of \$375K)	\$0	\$16,875	Midpoint 3– 6% on midpoint value
RE	Mortgage Principal	\$0	\$4,500	Midpoint estimate

Paydown
(Year 1)

Real Estate Subtotal		\$0	\$51,375	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization (monthly × 12)	\$2,400	\$6,000	\$200– \$500/mo freed from over- withholding
Cash Flow	CC Debt Interest Savings	\$3,600	\$7,200	Partial payoff (\$18K × 20% APR) / Full payoff (\$36K × 20% APR)
Cash Flow	Freed CC Minimum Payments	\$0	\$8,640	~\$720/mo if fully eliminated
Cash Flow Subtotal		\$6,000	\$21,840	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	W-2 401(k) Contributions (2026)	\$24,500	\$24,500	2026 max; age 47, no catch-up
Wealth	Backdoor Roth IRA (both spouses)	\$15,000	\$15,000	\$7,500 × 2; no catch-up at 47
Wealth	Solo 401(k) Employer Portion	\$0	\$12,500	Contingent on LLC SE income

Wealth	RE Equity Position (down payment)	\$0	\$75,000	20% down on ~\$375K property
Wealth Building Subtotal		\$39,500	\$127,000	
TOTAL MODELED FIRST- YEAR VALUE (2026)		\$55,584	\$249,814	

Calculation Verification:

Conservative: $\$9,857 + \$27 + \$200 + \$0 + \$6,000 + \$39,500 = \text{\$55,584} \checkmark$

Aggressive: $\$34,689 + \$1,155 + \$13,755 + \$51,375 + \$21,840 + \$127,000 = \text{\$249,814} \checkmark$

Important: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed—past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32; verify with your CPA. OBBBA provisions incorporated where applicable. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

Verify all deadlines with your tax professional.

DATE	ITEM	RELEVANCE
April 15, 2026	2025 IRA contribution deadline	Last day to make 2025 Backdoor Roth contributions ($\$7,000 \times 2 = \$14,000$)
April 15, 2026	2025 tax return filing	Review MFS vs. MFJ with CPA; file or extend
Q2 2026	Cost segregation study	Commission study on Catskills STR. Under OBBBA, 100% bonus depreciation applies for property acquired after Jan 19, 2025; TCJA rates for earlier acquisitions
Throughout 2026	Mileage & home office documentation	Maintain contemporaneous records for Schedule C deductions
Nov 2026	Open enrollment consideration	Evaluate HDHP option to unlock HSA for 2027 (\$8,750 family + potential catch-up)
Dec 31, 2026	Solo 401(k) establishment deadline	Plan must be established by this date for 2026 employee contributions
Dec 31, 2026	401(k) employee deferral deadline	Confirm \$24,500 contributed through payroll by year-end
April 15, 2027	2026 IRA/HSA contribution deadline	Last day for 2026 Backdoor Roth ($\$7,500 \times 2 = \$15,000$) and HSA (if HDHP enrolled)

Professionals Before Implementation

Questions for Your Professional Team

For Your CPA / Tax Professional

? Based on our combined household income and filing MFS, what would our tax liability look like if we filed MFJ instead? What is the estimated annual savings?

? Has a cost segregation study been performed on the Catskills STR property? When was the property placed in service? Under OBBBA, properties acquired after Jan 19, 2025 qualify for 100% bonus depreciation. What is the estimated benefit?

? Can we still make 2025 Backdoor Roth IRA contributions ($\$7,000 \times 2$) before April 15, 2026? Are there any pro-rata rule concerns with existing Traditional IRA balances?

? Given my LLC is less than 6 months old, what is the optimal timeline for establishing a Solo 401(k) for 2026? Should the employee deferral go to the W-2 plan or the Solo plan?

? Am I over-withholding on my W-4? Based on 2025 results, what W-4 adjustments would optimize monthly cash flow without creating underpayment penalties?

? If I were to liquidate a portion of my crypto position to pay off CC debt or fund a real estate down payment, what are the capital gains tax implications?

? What documentation do I need for the home office deduction and vehicle mileage deduction on Schedule C?

? With the OBBBA raising the SALT cap to \$40,000, does itemizing become more favorable for our situation, especially given NYC income and property taxes?

For Your Financial Advisor

? Given my existing \$500K+ crypto position (10%+ of net worth), how does additional Bitcoin allocation affect my overall portfolio risk profile?

? Should the \$36K in CC debt at 20–24% APR be prioritized over new investments?

What is the optimal order of operations for debt payoff vs. investing?

? How does the investment scenario in Section 7 align with my overall goals of long-term wealth building and legacy planning?

? What insurance gaps (life, disability, umbrella) should we evaluate given our household income and family situation?

For Your Attorney (If Applicable)

? Is my SMLLC structure appropriate for consulting/coaching income, or should we consider S-Corp election as revenue grows?

? Given the STR property and potential RE expansion, is an LLC or series LLC structure appropriate for asset protection?

? What estate planning documents should be in place given our family situation and asset level (~\$830K retirement + \$500K+ crypto + RE)?

Professional Team Considerations

You indicated your CPA/tax professional is proactive about tax strategies. The following team members are commonly involved in implementing strategies discussed in this analysis:

PROFESSIONAL	ROLE IN THIS SNAPSHOT	KEY DISCUSSIONS
CPA / Tax Professional	Tax strategy verification & implementation	MFS vs. MFJ analysis, cost seg study, Solo 401(k) setup, Backdoor Roth mechanics, W-4 optimization, OBBBA provisions
Licensed Financial Advisor	Investment scenario review & implementation	Portfolio allocation, crypto position sizing, debt vs. invest decision, insurance review
Real Estate Professional	STR optimization & acquisition	Catskills revenue optimization, house hack property sourcing, market analysis
Attorney	Entity structure & estate planning	LLC structure review, estate documents, asset protection
Cost Segregation Specialist	Engineering-based depreciation study	Catskills STR study, potential new acquisition study (100% bonus dep under OBBBA for post-Jan 19, 2025 acquisitions)

Milestone Considerations (2026)

These milestones are for tracking awareness, not requirements. Adjust based on discussions with your professional team.

TIMEFRAME	MILESTONE	CONSIDERATION
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Q1 2026 (Jan–Mar)	Foundation	CPA meeting (MFS/MFJ, cost seg, 2025 cleanup) · 2025 Backdoor Roth before April 15 · Begin mileage tracking · CC debt payoff plan · W-4 review
Q2 2026 (Apr–Jun)	Implementation	2026 Backdoor Roth contributions · Cost seg study commissioned · LLC revenue generation plan · STR optimization (pricing tools, listing updates)
Q3 2026 (Jul–Sep)	Mid-Year Review	Review tax projections with CPA · Assess LLC income and Solo 401(k) viability · Evaluate RE acquisition timeline · Review debt payoff progress
Q4 2026 (Oct–Dec)	Year-End Planning	Solo 401(k) establishment by Dec 31 (if applicable) · Confirm 401(k) contributions on track (\$24,500) · HDHP evaluation for 2027 · Year-end tax planning with CPA

Educational Resources & 2026 Reference

2026 Contribution Limits Reference Table

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50–59, 64+)	SUPER CATCH-UP (60–63)
401(k) Employee Deferral	\$24,500	+ \$8,000	+ \$11,250
401(k) Total (Employee + Employer)	\$72,000	+ \$8,000	+ \$11,250
HSA (Family Coverage)	\$8,750	+ \$1,000 (age 55+)	
HSA (Individual Coverage)	\$4,400	+ \$1,000 (age 55+)	
Traditional / Roth IRA	\$7,500	+ \$1,100	+ \$1,100
Business Mileage Rate	72.5¢ per mile		

OBBBA Key Provisions (Signed July 4, 2025)

PROVISION	DETAIL
100% Bonus Depreciation	Permanent for qualified property acquired after Jan 19, 2025. Reverses TCJA phase-down.
SALT Deduction Cap	Increased from \$10,000 to \$40,000 (reverts to \$10,000 after 2029)
Section 179 Expensing	Increased from \$1,000,000 to \$2,500,000 (phase-out at \$4,000,000)
Child Tax Credit	Increased to \$2,200 per qualifying child (indexed for inflation)

Standard Deduction (2026)	\$16,100 single/MFS; \$32,200 MFJ; \$24,150 HoH
Non-Itemizer Charitable Deduction	\$1,000 single / \$2,000 MFJ (new for 2026)
QBI Deduction (Section 199A)	Made permanent (20% pass-through deduction)

SECURE 2.0 Act — Key 2026 Provisions

Super Catch-Up (Ages 60–63): Beginning in 2025, individuals aged 60–63 can contribute an enhanced catch-up of \$11,250 to 401(k) plans (instead of the standard \$8,000). Not applicable at age 47 but relevant for future planning.

Roth Catch-Up Mandate: Starting in 2026, employees who earned \$150,000+ in FICA wages in the prior year from the same employer must make catch-up contributions as Roth (not pre-tax). This is noted for awareness; not applicable until age 50.

Student Loan Match: Employers may now match student loan payments with retirement contributions. Check with your HR department if applicable.

IRS Resources (For Reference)

TOPIC	IRS RESOURCE
Retirement Plan Limits	IRS Notice (updated annually) — irs.gov/retirement-plans
Home Office Deduction	IRS Publication 587
Vehicle Business Use	IRS Publication 463
Rental Property / Depreciation	IRS Publication 946, Publication 527
Backdoor Roth IRA	IRS Form 8606 instructions
Self-Employment Tax	IRS Schedule SE, Publication 334
OBBBA Provisions	irs.gov/newsroom/one-big-beautiful-bill-provisions

For educational reference only. Verify all limits and rules with IRS.gov or your tax professional.

Wealth Strategy Snapshot | 2026 Tax Year Planning | Educational Analysis Only | Consult Licensed
Professionals Before Implementation

Important Disclaimers

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of February 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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